

ENGLISH **LIVE**

11

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 11

23rd January, 2017



Rebooting disinvestment

To gain some perspective on the Centre's decision to divest 25% of its stake in five public sector general insurers, consider these numbers. Last year, the gross premium income of four of these companies — New India Assurance, United India Insurance, Oriental Insurance and National Insurance — increased by over 12%. But their profits after tax fell by more than half from a year earlier, from ₹3,094 crore in 2014-15 to just ₹1,499 crore in 2015-16. A closer scrutiny reveals that high underwriting losses, which increased 55% in the year, were largely responsible for profits falling at these firms even as revenues rose. National Insurance took the sharpest hit, with a 148% rise in underwriting losses. Public shareholding in these firms will lead to questions about such outliers in performance that haven't been heard under the Centre's present 100% ownership structure, at least in the public domain. This, as Finance Minister Arun Jaitley said in his Budget speech last year, would lead to greater transparency and accountability. It will also allow the firms, including General Insurance Corporation of India, to raise more capital from the markets instead of relying on taxpayer money alone. For instance, India's ₹1,500-crore nuclear liability insurance pool created by GIC with other insurers perhaps needs more muscle to create confidence among wary nuclear suppliers.

That it took 11 months for a Budget announcement to secure 'in-principle' Cabinet approval is symptomatic of the lethargy in the disinvestment programme. Prime Minister Narendra Modi had asserted early in his term — during his maiden official visit to the U.S. in 2014 — that government had no business being in business. Yet, it took two more years for the Cabinet to sign off on the first strategic sale (with transfer of ownership and control) under its watch, in the loss-making Bharat Pumps and Compressors. In December, it approved the sale of land with four sick public sector pharma firms with a plan to close two, and 'explore the option' of strategic sale for Hindustan Antibiotics and Bengal Chemicals. This month, stock exchanges were informed about a proposal to sell a 26% stake in heavy equipment-maker BEML to a strategic investor. The political economy window for such divestment is not unlimited. Even the Atal Bihari Vajpayee regime, which spearheaded the strategic sale of public sector firms engaged in businesses ranging from bread to phosphates, raised 84% of such revenue during its third and fourth years in office. Halfway through its term, it is time this government's disinvestment plans gather steam.

THE HINDU

20th January 2017



DISCUSSION ON
23rd Jan (today)



DISCUSSION ON
24th Jan (tomorrow)

Stonewalling by the RBI

The central bank needs to be more forthcoming on the 'remonetisation' roadmap than it has been so far

It's been 75 days since November 8, yet the Reserve Bank of India has failed to answer crucial questions on how it intends to 'remonetise' the economy. In its recent depositions before the Parliamentary Standing Committee on Finance and the Public Accounts Committee, the RBI merely said that ₹9.2 lakh crore worth of new currency had been injected into the banking system, in place of the ₹15.4 lakh crore of ₹500 and ₹1,000 crore notes that had been withdrawn from circulation. What is, however, not known is whether the new currency notes are meant to fully replace the old, given the push towards cashless transactions. Governor Urjit Patel has refused to tell us the value of the old notes that have returned to the system. The timeline for removal of withdrawal limits, and hence the return to a sort of new normal with cashless transactions playing a bigger role than pre-November 8, has not been indicated. As a result of this opacity, there's still an air of uncertainty, despite the fact that the cash shortage in banks and ATMs has eased. According to reports on the RBI's submission to the Standing Committee, the currency with the public as on January 13, at ₹9.7 lakh crore, is more than the new notes in circulation, an indication that the people are perhaps hoarding cash in the belief that the crunch is here to stay.

This precautionary demand for cash can be seen as an erosion of faith in the RBI as the custodian of financial stability. The RBI must be more transparent about how it will stabilise the situation and achieve the transition to a cashless economy — besides bringing credit growth back on track. It has a key role to play in ensuring that the adverse socio-economic impact of demonetisation is short-lived.

Former governors have pointed to the RBI being exposed to 'reputational risk'. The RBI earned a name for itself by shielding the country from financial turmoil in the wake of the East Asian crisis and the Great Recession; today, it is being held responsible for making a mess out of implementing demonetisation. But in order to act as a bulwark against financial contingencies, it must recover its lost voice, stature and, crucially, its autonomy. While the decision to demonetise was the prerogative of the Government, it is hard to understand why the RBI governor and his team did not place their views in the public domain. Since November 8, the finance ministry has been briefing the media almost on a daily basis on the cash status. As an independent authority, the RBI should not have shied away from explaining issues that fall squarely in its domain. Its recent monthly bulletins have nothing to say on the subject. The governor must reclaim lost ground at the earliest, for the sake of his institution and the financial security of the nation.

BusinessLine
23rd January 2017

LIVE



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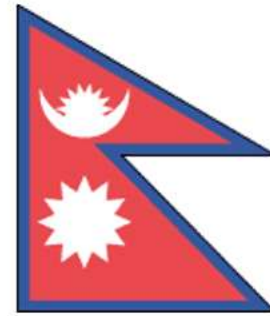
20th January 2017

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Reboot

The user
should **reboot**
the computer
when it got
hanged



Nepal should
reboot its
economy after
years of
maoist
disturbances

Reboot

To switch off and start again

Reboot

To make a change in order
to have a new beginning



GENRAL INSURANCE COMPANIES



आपत्काले रक्षिष्यामि
GIC Re

✓ It is India's only reinsurer



✓ At present, these are public sector private ltd. companies



✓ They will become public sector public ltd companies





PUBLIC SECTOR AND PRIVATE SECTOR



PUBLIC SECTOR



PRIVATE SECTOR



DIVESTMENT / DISINVESTMENT



DIVESTMENT

MINORITY STAKE SALE

Selling part of the stake by keeping majority stake of at least 51% by the Govt.

STRATEGIC SALE

Selling majority stake or selling PSU entirely. Govt. will come out of management control or sell it completely. This is privatisation



PUBLIC LTD & PRIVATE LTD



TATA CONSULTANCY SERVICES



PUBLIC LTD



BHARATIYA RESERVE BANK
NOTE MUDRAN (P) LTD.



PRIVATE LTD



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Perspective



Raju got 90% this year. To put this into **perspective**, he got 60% last year

Perspective

To compare something so as to judge it correctly



The Hindu writes from socialist **perspective**

Perspective

Presenting a view / opinion



Gross

Her **gross** income is Rs. 1,00,000
per month, but her net income is
Rs. 60,000



Gross

Total money before deduction



Rebooting disinvestment

THE  HINDU20th January 2017

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Scrutiny

The statistics of the total value of currency notes printed and demonetized notes which were deposited in the banking system will come under close **scrutiny**



Scrutiny

Careful and detailed examination of something in order to get information about it?



Underwriting



JPMorganChase



Underwriting

Raising investments
for companies by
Investment banks

Underwriting

Agreeing to bear the
financial risk
inherent in an
insurance contract



Underwriting Income

= premiums collected –
expenses incurred and claims
paid out



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THE  HINDU20th January 2017

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Outlier

Donald Trump is an **outlier** as far as climate change is concerned



Outlier

A thing / person different from others



Corruption pervaded to all the levels, the **honest politicians** are **outliers** in the present system

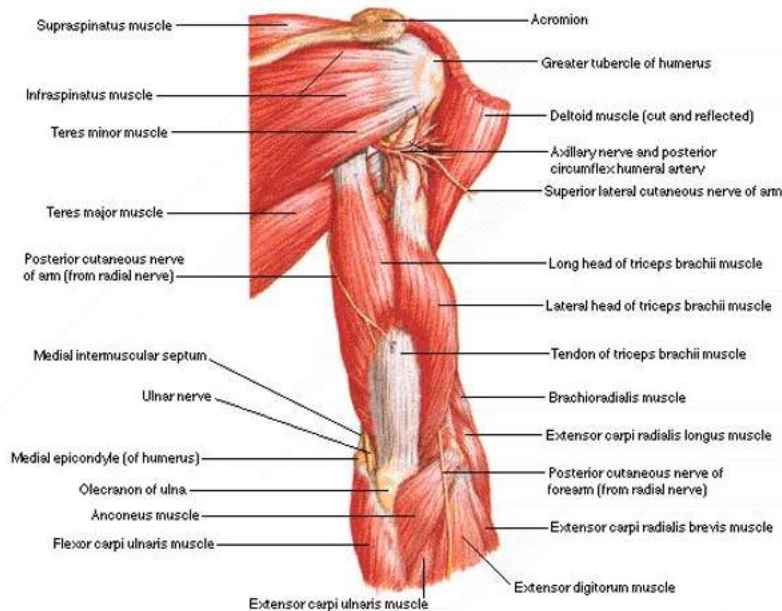
Outlier

A fact or figure that is very different from all others



Muscle

Muscles of The Upper Arm Posterior View



China has got financial **muscle** to dictate its own terms in 21st Century

Muscle

One of the many tissues in the body

Muscle

Power to do difficult things or make people behave in a certain way



Wary

Tourists should be **wary** about people, as theft is quite common in this area



Wary

Not completely trusting/ not certain about someone or something



Rebooting disinvestment

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In-principle

RBI granted **in-principle**
approval to payment banks &
small finance banks



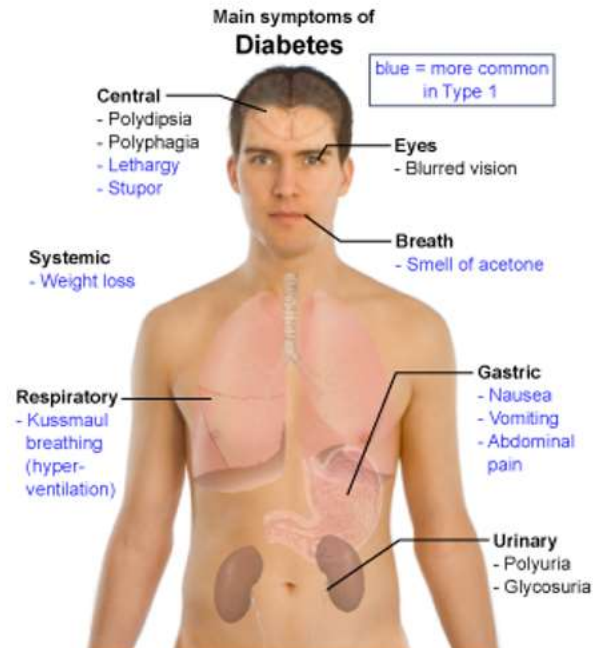
In-principle

It is approval in principle (as a policy), but the final commitment will be subject to meeting certain conditions



Symptoms

These are the
symptoms of
diabetes



Recent outbreak of violence is
the **symptom** of simmering
discontent against the Govt.

Symptoms

Any single problem that is caused by and shows a more serious /
general problem



Lethargy

The Coal India Limited is one example of having **lethargy** in public sector enterprises



Lethargy

The feeling of being unwilling to do anything



Maiden

The Prime Minister
inaugurated **maiden** direct
flight from Mumbai to New
York



Maiden

Being for the first of its type



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Spearhead



Russian troops **spearheaded** the action against rebels in Syria



A.P.J Abdul Kalam **spearheaded** India's ballistic missile project

Spearhead

To lead something such as an attack or a course of action

Spearhead

A person or group that leads a project / group



Gather steam



The concept of universal basic income is **gathering steam**

Gather steam

Pick up, build up



सत्यमेव जयते

The proposal of the Govt. on land acquisition is **gathering dust**

Gather dust

Not to be used for a long time

**BusinessLine**

MONDAY, JANUARY 23, 2017

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DISCUSSION ON**24th Jan (tomorrow)****THE  HINDU****23rd January 2017**